



Scrap Declaration and Disposal Policy

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Power System Operation Corporation Limited
(A Government of India Enterprise)

Preface

The National and Regional Load Dispatch Centers (NLDC/RLDCs) were constituted as statutory bodies with their functions defined under the Electricity Act 2003 and the Indian Electricity Grid Code. Initially, the RLDCs were operated by the Central Electricity Authority, as part of the Regional Electricity Boards (REBs), since 1964. Consequent to the formation of Power Grid Corporation of India Ltd. (PGCIL), the RLDCs were transferred to PGCIL during 1994 to 1996, in a phased manner.

Ministry of Power, Government of India directed PGCIL, vide OM dated 04th July 2008, to set up Power System Operation Corporation (POSOCO) as a wholly owned subsidiary of PGCIL. The functions of POSOCO included, inter-alia, to supervise and control all aspects concerning operations of NLDC and RLDCs, act as an apex organization for manpower requirement of NLDC and RLDCs, to ensure planning and implementation of infrastructure required for smooth operation and development of NLDC and RLDCs, to advise and assist the SLDCs, including for specialized training, etc. POSOCO was, accordingly, incorporated as a wholly owned subsidiary of PGCIL and registered on 20th March 2009. MoP, vide notification dated 27th September, 2010, notified that POSOCO shall operate the five RLDCs and NLDC w.e.f. 1st October, 2010. POSOCO has since been discharging the statutory function of power system operation, under the Act. Consequent to Gazette notification ref SO 4089 (E) dated 19th December 2016, POSOCO commenced operation as a wholly owned Government of India company w.e.f 3rd January 2017.

Being a knowledge based, Information Technology Oriented Company, the infrastructure of RLDCs and NLDCs needs periodic review and up-gradations to adopt the latest technology. The up-gradation and adoption of new technology renders the old IT and associated infrastructure out of use which have served their life and purpose. Further being a new company, the old and out of use materials and equipment's are required to be disposed-off so as to make way and space for new state of the art equipment's and

infrastructure as per the need of evolving company. After the constitution of the independent Board of Directors of POSOCO in Dec 2017, the first Executive Committee Meeting (ECM) was held on 24th Jan 2018 wherein it was unanimously decided to formulate and adopt POSOCO's own "Scrap Declaration and Disposal Policy" (SDDP) to identify and dispose-off the Scrap material systematically and judiciously. This "Scrap Declaration and Disposal policy" is culmination of the same.

The "Scrap Declaration and Disposal Policy" provides the framework for identification, and declaration of the scrap material on the set criteria's and subsequently disposal of the scrap material as per laid down procedures. Expiry of useful life, obsolete technology, defects beyond repairs, uneconomical repair cost, unusable condition etc. are some of the attributes of material and equipment's which form basis for their identification and declaration as Scrap.

The objective of policy also contains disposal of the scrap in an efficient and timely manner. The procedure for Disposal of Scrap is framed so as to ensure realization of reasonable salvage value by participation of government scrap dealing agencies. The mode to be adopted for disposal is framed keeping in view the nature of scrap, cost of disposing-off and salvage value of the scrap.

The SDDP will ensure efficient disposal of the old and out of use material and equipment's and will thus pave way for infusion of new technology in the company.

INDEX

Sl. No.	Brief Description	Page No.
1.	Introduction	5
2.	General	6
3.	Scrap Declaration and Disposal Committee	8
4.	Financial Powers	10
5.	Reserve Price	11
6	Method of Disposal, Subject to Approval (STA) Provision	12
7	Issuance of Sale Order, Delivery order and related matters	16
8	Disposal in case of No Bid/Rejection of Bid/No EMD	17
9	Disposal of Used Lead Acid Batteries	18
10	Disposal of IT Equipment's to employees	19
11	De capitalisation of Scrapped Items	20
12	Annexures	21

1.0 INTRODUCTION

1.1 For a proper infusion of new technology and salvation of out of use materials and equipment, it is essential that an effective system to identify all assets and materials which have ceased to be useful to the organisation, shall operate continuously, so that immediate follow up action is possible for their timely discarding and disposal to recover thereby maximum return from materials which would have been otherwise lost.

1.2 The assets and materials which require to be discarded may be broadly classified as under:

- i) Machinery and equipment's which are unserviceable or beyond economic repairs;
- ii) Machinery and equipment's which have become obsolete and whose retention has become uneconomical
- iii) Machinery and equipment's which have served their useful life and required to be replaced due to requirement of technological advanced machinery and equipment.
- iv) Scrap including Packing boxes, empty containers and discarded stationery and miscellaneous scrap items and unusable/out of date spares having meagre salvage value.
- v) E waste, deteriorated wood, packing material and such other material having no worth/salvage value and are recommended for disposal as using methods like destroying/disposing them as debris/garbage.

1.3 Before disposal action is initiated in respect of items referred at sub paras (i) to (v) above, it is essential to ensure that there is no possibility of any alternate economic use for the items within POSOCO. Once this fact is established, disposal action shall be initiated with all expediency in accordance with the procedure contained hereunder.

1.4 POSOCO relies intensively on the SCADA, Communication and IT infrastructure for its day to day working. The equipment's are required to be up to date with the latest technological developments so as to extend maximum possible support for efficient system operation. The backbone of system operation and market operation functions of POSOCO are SCADA, Communication and IT infrastructure. They have their defined useful life after which they are required to be replaced and old system thus becomes out of use and shall be scrapped as per policy brought out in this document.

1.5 This procedure deals with disposal of only movable property of POSOCO referred in paras (i) to (v) above.

2.0 GENERAL

2.1 The indenting department will initiate for proposal for disposal of the proposed materials as scrap. The proposal shall indicate the following details of the material which are proposed to be declared scrap and disposed-off.

- (a) Material Description and Quantity
- (b) Reason for proposing the material for scrap declaration.

2.2 The reason for disposal of the scrap shall be categorised in the following categories.

CATEGORY A: Machinery, equipment's and vehicles which are unserviceable or beyond economic repairs;

CATEGORY B: Machinery, equipment's and vehicles which have become obsolete and whose retention has become uneconomical

CATEGORY C: Machinery, equipment's and vehicles which have served their useful life and required to be replaced due to requirement of technological advanced machinery and equipment.

CATEGORY D: Scrap including E waste, Packing boxes, empty containers and discarded stationery and miscellaneous scrap items and unusable/out of date spares but having meagre salvage Value.

CATEGORY E: Deteriorated wood, packing material and such other material having no worth/salvage value and are recommended for disposal by using methods like destroying/disposing them as debris/garbage.

2.3 While categorising the proposed scrap, proper thought shall be given to the life served by the equipment/machinery, its usage in any alternate area of work, obsolescence of technology, efficiency improvement and economy of repair and retention.

2.4 While proposing old documents/records for declaration as scrap, indenting department shall ensure that the documents/records qualifies for disposal as per Document Retention Policy of the corporation.

- 2.5 Many a times, the old equipment/machinery/vehicle is replaced with new technological advance equipment/machinery/vehicle with buy back of the old equipment/machinery/vehicle by the same agency awarded with supply of new equipment's /machinery/vehicle. In such cases, the proposal need not to be initiated separately for declaring scrap. However the proposal for such a procurement and disposing shall invariably detail the need of replacement, category of the material as described at para 2.2 above. Also in such cases, the Competent Authority for approval of such procurement on buyback basis shall not be less than the authority for disposal of the proposed material as per this policy and procedure.
- 2.6 Upon initiation of the proposal for declaration and disposal of the material from indenting department, an administrative decision will be taken by the Competent Authority after routing the proposal through Finance Department. At this stage, Finance department will do general scrutiny of the proposal about the requirement to declare the proposed items as scrap. There is no necessity of assessing book value/reserve price etc. at this stage as the same will be looked by Scrap Declaration and Disposal Committee after administrative approval of Competent Authority. If the administrative decision is to go for the items proposed by Indenter for Scrap declaration then Competent Authority after approving the proposal, will constitute a Scrap Declaration and Disposal (SDD) Committee as detailed in Clause 3.0. Thus this is the First step but not the Final step towards declaration of items as Scrap.
- 2.7 The Final declaration of proposed material as Scrap and subsequent disposal shall be carried out as per recommendation of SDD committee, as detailed in Clause 3.0.
- 2.8 It will be an endeavour of the RLDC/NLDC/CC Heads to prompt other departments also to review the proposals of Scrap identification in their jurisdiction so that the entire process is combined in one stroke. For this, when a proposal from one indenting department reaches Competent Authority then at that stage, an exercise will be carried out to assess whether any scrap disposal action has to be initiated by any other department. With this, a combined effort for the entire office can be achieved in one stroke. In any case, one such exercise needs to be done at each RLDC/NLDC/CC once in every six months. In case of initiation of multiple proposals from different departments for disposal of scrap within the RLDC/NLDC/CC, the proposals shall be clubbed before administrative approval of Competent Authority. Upon administrative approval to the clubbed proposals, Competent Authority will constitute SDD committee consisting of members covering all relevant departments whose proposal has been clubbed. The clubbing of proposals from various departments and single SDD committee will save procedural costs and minimize delays for handling parallel scrap disposals within same RLDC/NLDC/CC.
- 2.9 Once the single/combined proposal is approved and SDD committee constituted, the SDD committee shall put up its final recommendation to the Competent Authority within a maximum timeframe of two months from the date of constitution of committee.

The progress of proposal shall be reviewed by Competent Authority on regular basis and an internal system of monitoring of proposal progress will be put in place by each RLDC/NLDC/CC and for this, review meeting and/or monitoring through e-office software shall be done.

3.0 Scrap Declaration and Disposal (SDD) Committee

3.1 One committee of a minimum three members comprising of executives from Indenting Departments, C&M Department and Finance Department shall be constituted by Competent Authority for scrutinizing the scrap declaration and disposal proposals. In case the proposal is a combined one, the SDD committee will be constituted from members of all relevant departments. If required, Competent Authority may include a member from any other department having domain knowledge. The SDD committee members shall generally be not below the level of E5. However in case the level is not available, competent Authority can nominate any other levels. Competent Authorities for constitution of SDD committee are as below.

(a) At RLDC: Head of RLDC

(b) At NLDC: Head of NLDC

(c) At Corporate Centre: Chief General Manager having HOD status.

3.2 In case, during the six monthly exercise as stated above in para 2.8, it emerges that scrap disposal action has to be initiated and if the items being identified are a mix of many items and it is not very clear who should be the Indenting department, then RLDC Head/NLDC Head/CGM (HOD) at CC will direct one particular department to be the nodal department for initiating proposal for scrap declaration and formation of SDD committee.

3.3 Functions of Scrap Declaration and Disposal (SDD) Committee shall be:

(a) Scrutinizing in detail the items proposed for declaration as Scrap with the reason for scrap declaration. SDD committee will deliberate and finally recommend to the Competent Authority whether the item qualifies to be declared as Scrap or not and also whether the disposal route will be through Buy Back provision (to be kept while finalising the Tender for the replacement of the items under consideration) or through direct Scrap disposal methodology. Items like old SCADA equipment's, VC equipment's, VDUS etc can be considered under Buy Back provisions and under such situation there is no need to arrive at the Reserve Price.

(b) However if the decision is to go with the direct Scrap selling then after finalising the items from the proposed items by the Indenter in the previous note, the committee will first try to ascertain the book value of all such items which are now zeroed upon

for Scrap declaration. The role of Finance department representative in the SDD committee will be vital in arriving the Book Value of the Lot to be sold under Scrap. There may be situations wherein many items may not find their mention in the Asset register and for these items a rough estimate of Book Value will be taken. For example say an Almirah may not find its mention in the Asset Register and its book value may not be readily available in the Finance department. Then in that case the SDD Committee will arrive at the rough book value by assessing the likely price at the time of purchase, depreciations thereof and the present book value. The Exercise of arriving Book Value is first to ascertain the level of Competent Authority for approving the proposal as per clause 4.0 and secondly decapitalisation after successful scrap disposal process and corresponding adjustments in P&L accounts.

- (c) After approval of the proposal by the Competent Authority, SDD Committee will identify 3-4 Professional Valuer in their city. Such valuer will be approached for providing their professional fee for conducting the physical survey of the scrap material and for recommending suitable Reserve Price. The SDD committee will forward the item list to the valuer (without indicating the book value etc.) as finalised by them and as approved by Competent Authority. Please refer para (e) below for more details.
- (d) POSOCO through NRLDC has already signed an “Selling Agency Agreement” dated 5th Nov 2015 with MSTC Limited (A Government of India Enterprise) and the same is valid upto 04/11/2020 .MSTC is “Metal and Scrap Trading Corporation Limited” and it is a Mini Ratna Category-1 PSU under the administrative Control of the Ministry of Steel ,Government of India. This agreement is valid for all RLDC(s)/NLDC/CC. In case any RLDC finds that the same is not being honoured by their local MSTC office then the concern RLDC will approach NRLDC for resolving the issue. In case issue is not resolved, RLDC may have a direct tie up with local MSTC. Further NRLDC will take advance action for extension of this agreement or signing of a new agreement. As per clause 7.2 of the Agreement :

Quote

MSTC will offer guidance in regard to making of lots for the purposes of e-Auctions and will act on the basis of the list of disposable materials received from the Principal. In addition to it, MSTC will also provide assistance to the Principal in fixing Reserve Price and shall intimate the Prevailing rates of respective scrap.

Unquote

- (e) Making Lots and fixing realistic reserve price is key to successful scrap disposal proposal. 4 RLDCs and NLDC are in metro cities and the offices /Branches of MSTC (A Govt. of India Enterprise) are located there. In case of NERLDC, Shillong help of MSTC Guwahati or Kolkata office may be taken. MSTC provides the contact details of such professional valuers and in addition to that the details of other professional valuers are also readily available in the public domain. MSTC may/may not provide contact details of these valuers in writing however it can be obtained telephonically or in person. RLDC/NLDC/CC are free to identify such professional valuers in their city

either through MSTC or through some other sources depending upon the situation and convenience.

- (f) Once the contact details of 4/5 such professional valuers are obtained by the C& M representative of SDD committee, the final list of items (which SDD committee recommended for disposal and was approved by Competent Authority) will be forwarded to these professional valuers and their quotations to be collected by SDD Committee for giving the services of On site visit/Lot formation(if required) and for giving Reserve Price. The lowest evaluated of all such quotations will be identified as the valuer whose services are to be availed and approval of Competent Authority to be taken for engaging him. Needless to mention that the professional fee for such services has to be in justification and it should not be a case that the expenses on this account is not in proportion to the likely receipt of Scrap Salvage Value. If required the logistics support etc may be provided by the POSOCO only to keep the professional fee properly justified.
- (g) All RLDC / NLDC/CC will generally engage the services of a professional valuer for finalising the Reserve Price of each lots. The formation of Lots will also be got done under the professional advice of such appointed valuer. The Services of professional valuers are key to success of the smart scrap disposal processes as they are well aware of the residual values of the scraps in market which are generally in huge difference from the assessment of Book Value by SDD Committee on usual depreciation methodology .It is to be appreciated that finally the Lot will be put on for auctions on Open Tender Basis by MSTC. However if it is felt that Quantum of the Scrap items or the likely Scrap Salvage Value of the items are not that big which justified engaging a professional valuer and assessment can be done departmentally then the approval of the same with proper justification will be taken from Competent Authority including the Reserve Price finalised by SDD committee.
- (h) Once the professional Valuer submits its recommendations about the Reserve Price and lot details, Committee will scrutinise the entire proposal and put up its final recommendation for Scrap Disposal along with the Reserve Price and lot details to Competent Authority for final approval.

4.0 Financial Powers

Equipment's /machinery and capital items before they are declared as fit for disposal, will need the approval of the Competent Authority on the recommendations of the SDD Committee as brought out in para 3.0. The extent of financial powers for declaring items as fit for disposal would be as under:

4.1 Powers of CMD

The CMD of POSOCO shall have full powers for discarding, declaring fit for disposal, approving reserve price and for disposal of materials.

4.2 Powers of Functional Directors for discarding, declaring fit for disposal and



disposal of materials.

Functional Director(s) will have powers for discarding, declaring fit for disposal, approving reserve price and for disposal of materials up to the book value of Rs. 5.00 crore in each case.

4.3 Powers of the Head of RLDCs/NLDC/CGM (HOD) at CC for discarding, declaring fit for disposal of material.

Head of RLDCs/NLDC/CGM (HOD) at CC will have powers for discarding, declaring fit for disposal, approving reserve price and for disposal of materials upto the book value of Rs. 1.00 crore in each case.

Note- Accordingly, in the note sheet initiated by the SDD committee as per para 3.3 (b) the Book Value will be indicated for finalising the competent Authority for approving the Note sheet. Once the Note sheet for Scrap Disposal is approved as per the above Financial Powers, Fixing of Reserve Price or STA % (Elaborated in detail in subsequent Paras) will be in the Powers of RLDC Heads / NLDC Heads / CGM (HOD) at CC.

4.4 Disposal action in respect of Newspapers /periodicals/old broken furniture etc.

Head of HR Department in RLDC /NLDC/CC will have full powers to dispose-off the scrap of Newspapers/ Periodicals/Old papers /old broken Furniture's and any other miscellaneous items by closing the deal with one scrap picking Vendor subject to limit of Rs 5000/- in each case. Such disposal shall be made in presence of finance representative and Cash/Cheque received from the scrap vendor will be submitted to Finance department with one IOM. Such disposal will not require any approval and Head of HR is fully competent to take the disposal action in presence of Finance representative. In case of NLDC, if HR representative is not available then Head of NLDC can approve and authorise any other official to act as Head of HR for this disposal process.

4.5 A report for disposal of materials exceeding Rs. 25 Lakhs in each case will be brought to POSOCO Board for information by RLDC Heads /NLDC Heads /CGM (HOD) at CC.

5.0 Reserve Price:

5.1 The reserve price shall be fixed by SDD committee on the advice of Professional Valuer as elaborated in earlier clause(s). Only in those cases where the likely expenses in the engagement of a professional Valuer are not in commensurate with

the likely scrap salvage value, internal departmental process of estimating the scrap value will be undertaken which will be done by SDD committee.

6.0 METHODS OF DISPOSAL

6.1 All materials approved for disposal should normally be done through MSTC in line with the Terms and conditions as per the Agreement attached as Annexure-1. However, in exceptional cases, as an alternative where considerable advantages accrue, which should be recorded in writing by SDD committee and approved by competent authority with the concurrence of Finance at appropriate level, the alternative methods (like collecting offers from local scrap dealers, buy back, disposal as garbage etc.) may be adopted.

6.2 Once the item(s) has/have been proposed for disposal and tenders for their disposal invited, these shall not be withdrawn from disposal list without prior approval of Competent Authority.

6.3 The scraps like newspapers / old magazines / broken furniture/Any other Miscellaneous items whose scrap value is less than Rs 5000/- (in normal assessment by HOP) in each case to be regularly disposed off by HOP in RLDC/NLDC /CC as explained in detail in pre para. This activity has to be done frequently so as to ensure neatness and cleanliness of the premises at all time.

6.4 E-Auction Process Through MSTC

After final approval of the proposal by Competent Authority as explained at Para above, the C&M representative of the SDD Committee will take initiative for registering the concerned RLDC/NLDC/CC with MSTC, if required.

6.5 User ID and Password

At the time of Registration, MSTC provides a User ID and Password. The email ID of the designated C&M representative is the notified e-mail ID for respective RLDC/NLDC/CC in which all communication with MSTC takes place.

6.6 E-AUCTION DOCUMENTATION:

Lists of different lots for disposal, along with details of all items, specifications and terms will be sent by POSOCO to MSTC preferably by e-mail (followed by hardcopies)

for faster preparation of e-Auction Catalogue and posting the “Lot details” by MSTC on the e-Auction Website.

MSTC/dealing officer of the MSTC creates the auction and the POSOCO representative gets a communication containing the Auction No and its schedule on its registered email id. After the creation of the Auction, after 2-3 days MSTC creates the Auction Catalogue. Auction catalogue contains all the information of Auction, i.e. Auction Terms and Conditions, material description, quantity of the Material etc..

Now it is POSOCO representative’s responsibility to check the Catalogue and inform the dealing officer of MSTC about the requirement of corrections in the catalogue if any. Once all the changes are done from MSTC side, POSOCO representative has to enter the Reserve Price as approved by the Competent Authority from his login.

6.7 STANDARD AUCTION PROCEDURES THROUGH MSTC PORTALS AND ALIGNMENT OF POSOCO WITH THE PROCEDURE-

MSTC Limited (A Govt. of India Enterprise) e-Auction website and its methodology is one of the best and most transparent platform available for auctioning the scraps. As per the methodology adopted by MSTC, after completion of auction, lot goes in any of the 4 states as described below.

1. **No Bid:** This happens when there is No Bid against the Lot.
2. **Accepted (Sold):** There is a Bid and the Bid of Buyer is above or equal to the Reserve Price entered by POSOCO. This means Lot goes in accepted state.
3. **Rejected (Not sold):** There is a Bid but the Bid of the Buyer is less than the Reserve Price Entered by POSOCO . This means Lot goes in Rejected state which can’t be sold and POSOCO has to go for re-auction to sell the same.
4. **STA (Subject to Approval):** MSTC has a very useful and practical tool under STA mode. Under this tool, if POSOCO enters any value in the field “% of Reserve Price for STA” , then upto that value (%),Lot will not be rejected and it will go to STA (Subject to approval) mode. Here POSOCO has the option to evaluate the Bid and accept Lots on STA from their Login by choosing option “Approval (STA)”. For example if POSOCO has put the Reserve Price as Rs. 50000/- and chose “% of Reserve Price for STA” as 10%, so if by chance the Highest Bid received in the Bid is not Rs. 50000/- or above but it is above Rs. 45000/- (10% of Rs.50000/- is Rs.5000/- and Rs.50000/- Less Rs.5000/- is 45000), then the Auction Lot is not rejected rather it goes in STA mode which can be accepted by POSOCO later. For clarity, it is to emphasise that % STA of Reserve Price means that POSOCO may reconsider less than the Reserve Price but upto STA% of Reserve Price entered by it. As another example say the Reserve Price is Rs 10000/- and POSOCO has entered STA% as 40%. It means, POSOCO may consider upto Rs.6000/- Bid subsequently.

6.8 RESERVE PRICE ENTRY AND STA % ENTRY

Reserve price must be entered before scheduled e-Auction date and time by the C&M representative of SDD Committee as per the details below.

(a) Reserve Price: C&M representative of SDD committee is required to enter the “Reserve Price” values of each lot in the system, through password security system, at least two working days prior to the commencement date of e-auction bidding. The system will retain the Reserve Price for comparing the bids internally during Live auction, but it will not be displayed or accessed by anyone. Upon closing of E-Auction, the system will readily ascertain whether H1 bid is equal to or above the Reserve Price value and confirm sale order against the particular bid and post it automatically.

(b) Lower limit for acceptance of H-1 bid, below reserve price: C&M representative of SDD Committee is also required to feed a lower limit in the system (as per the approval of the Competent Authority), for acceptance of H-1 bid (below reserve price) on “Subject to Approval” (STA) basis in the event of not receiving any bid value more than the reserve price. However, the bids below the said lower limit will be rejected. Upon closing of the E-Auction, the bids crossing the specified lower limit will be registered as “bids on STA basis” in the system. These bids will be blocked for a limited specified period, before expiry of which sale order is to be confirmed on highest bid.

(c) Competent Authority, approving reserve price, will also be authorized to approve the STA% ie the lower limit for acceptance of bids, in the system. Accordingly SDD committee will also recommend the STA % along with Reserve Price while putting up the final recommendation to the Competent Authority. Both Reserve price and the STA % are to be posted in the system, at least two working days prior to the commencement of e-Auction.

(d) All POSOCO offices are in Metro City (Except NERLDC) and it is to be appreciated that the indirect cost of storing the Scrap materials for a long duration is a costly affair. Further whereas the Overall objective of POSOCO is to get the maximum possible salvage values out of Scraps but it is to be well appreciated that there is no point in wasting substantial manpower, time and efforts for some extra incremental Scrap value. MSTC (A Govt. of India Enterprise) e-Auction platform is one of the widely used and transparent Platform and most of the dealers engaged in Scraps Business participate here during Auctions. Thus the Highest Bids quoted here against any Lot is generally the representation of the prevailing Market Price of that Scrap Lot and general approach of the SDD Committee should be to ensure successful Auction process and thus it is felt that depending upon the case to case basis, a range from 0% to 50% be recommended by SDD under STA provision in addition to the Reserve Price while finalising their recommendations to the Competent Authority.

(e) All bids will be deemed to be for materials on “As is where is” basis and subject to prior inspection by the bidders.

(e) Once the bidding starts, the H-1 bid at any point of time will always be displayed on the screen, without showing the name of the H-1 bidder.

(f) Any time during e-auction, the bidders as well as the dealing officials of POSOCO can see the bid history of the last 10 bids.

(g) Immediately after closing of e-auction, the bidders as well as POSOCO representative can see the result online on the website, which will show details of lots won by them on “confirmed” or “STA” basis.

6.9 DURATION OF E-BIDDING:

“E-bidding” is generally held initially for four hours, with a provision for auto extension of closing time by 8 minutes every time the last H-1 bid is received within 8 minutes of the predetermined or extended closing time. There are many Auction Terms Descriptions on MSTC website which has to be well familiarised with.

A) **Multiple Bid Revision-** As per this Bidders can go on revising their Bids depending on the Bid submitted by other bidders. There will be no restrictions on the number of such bids /revisions till the e-Auctions closes. No down ward revisions or cancellation of Bid already made is possible.

B) **Auto Bid facility for Bidder-** The Bidders have the option to make each bid or each Bid improvement manually for each item / Lot or he can choose the “Auto Bid” mode to give “Standing Instructions” to go on increasing his Bid by a specified incremental value and upto the specified limits . For Auto Bid, bidder has to choose incremental value and the highest Bid. Till the highest bid, System will bid on Buyer’s behalf in the increments of the incremental value chosen by the Buyer.

C) **Auto Extension of Closing Time-** The e- Auction closing Time will be automatically extended by 8 minutes every time the last H-1 Bid is received within 8 minutes of the predetermined or extended closing time. This process will continue till the last H-1 Bid remains unimproved for a minimum period of 8(Eight) minutes so as to give ample opportunity to all Bidders and to generate the best competition. For example, if the closing time is 3 PM and the last H-1 Bid is received at 2.59 PM, then the closing time will be automatically extended up to 3.07 PM and so on.

6.10 MONITORING/WITNESSING OF E-AUCTION BY POSOCO :

The dealing officer i.e. C&M representative of SDD Committee shall witness & monitor the “live e-auction process”. He shall also download “bid history” of last 10 bids for all lots and the “complete Bid Sheets” (with names of the H-1 bidders and the status as to whether Sold/STA/Rejected etc.) from the website, on completion of the “live e-auction process”.

7.0 ISSUE OF SALE ORDER, DELIVERY ORDER, DELIVERY, ETC.

(i) For the cases where H-1 bids are equal to or more than the reserve price, “Sale Intimation Letter” will be generated automatically in the system and will be issued by MSTC to the H-1 bidders for each lot, requesting to deposit 10% /25% Security Deposit/e/EMD (depending upon the auctions’s terms and conditions) within 7(seven)/3 (Three) days from the date of auction. No of days varies from auction to auction as decided by POSOCO. This automated intimation letter will also come to the registered e mail id of POSOCO.

(ii) In cases where H-1 bid is less than the reserve price but above STA% entered by POSOCO, MSTC system will automatically issue the “Provisional Sale Intimation Letter” to H-1 Bidder subject to approval of POSOCO. SDD Committee once again can review the overall situation and recommend the final decision to the Competent Authority. Once only after final approval by the Competent Authority ,C&M representative will convey the online confirmation of the approval to MSTC at the earliest, the time for which should not exceed more than 7 (seven) working days. If the decision is in affirmative, MSTC will ask the H1 Bidder to deposit 10%/25% Security Deposit /EMD within 7 days from the date of approval. It is to be noted that it is the responsibility of POSOCO to communicate their Final approval /Rejection of the H-1 Bids within 7 days of closing of Auction by posting it online from their login and hence the decision has to be quick.

(iii) On receipt of Security Deposit from the bidder, sale order/Acceptance letter is issued by MSTC requesting the Buyer to submit the balance sale value with applicable duties / taxes within 10/22 days. Generally the no of days are 22 but the same can be advanced with close coordination with MSTC. Security Deposit paid by H-1 Bidder is retained by MSTC, which will be refunded to the POSOCO on completion of the contract and receipt of NOC from POSOCO within 15 days.

(iv) Sale Order-Signed Sale order/Acceptance letter is issued by the MSTC to the successful H-1 Bidder only on receipt of the Security Deposit advising him to submit the balance sale Value with duties /Taxes within the stipulated time. This signed Sale Order /Acceptance Letter constitutes the Contract. At this juncture, POSOCO has to initiate close coordination with the successful Agency for early disposal.

(v) Delivery Order-Successful Buyer can make the Payment at any of nearest Regional /Branch office of MSTC throughout the Country. After getting the payment of full sale value from the buyer, delivery order will be issued by MSTC. Payments will be forwarded by MSTC to POSOCO after deduction of their Service Charges (as per agreement). POSOCO will allow delivery of material to the buyer only after receipt of payment, of full sale value, against production of Photo-ID-Card issued by MSTC (containing buyer’s photograph and specimen signature). Alternatively, Photo-ID-Card holder can authorize his representative along with the Photo-ID-Card (or a Notarized copy of the same) to take delivery of materials.

(vi) Immediately on receipt of the copy of Sale Order/Delivery Order issued by MSTC, C&M representative of SDD Committee shall generate a confirmatory Sale Order/Delivery Order for the purpose of regularization and also for facilitating future activities like accounting of sale proceeds, delivery of materials etc.

(vii) SDD Team has to fully support the successful bidders for smooth lifting of all Scrap Materials like Security Clearance of RLDC, facilitating deployment of trucks, entry of their authorised personnel etc.

8.0 DISPOSAL IN CASE OF NO BID /REJECTION OF BID/No EMD IN THE ABOVE PROCESS-

8.1 Under clause 6.0/7.0, the entire process of e- Auction has been brought out. However there may be situations when the final objective is not met due to either of the following possible reasons.

- (A) There was no Bid against the Lot.
- (B) There was Bid but it was less than the STA % and thus Auction got rejected.
- (C) There was successful Auction but the H-1 Bidder did not submit the EMD to MSTC,

8.2 Although the probability of getting success in Disposing off the Scrap through the elaborate methodology as explained in Chapter 6.0 is quite high, however in rare situation we may be facing a case when there was no bid against the Auction or a particular lot. The issue has to be critically analysed by the SDD Committee.

In fact, once the Auction is created on the web portal of MSTC, the interested Scrap dealers start visiting the POSOCO establishments for physically inspecting the Scraps, their conditions and their locations. It is necessary that they are facilitated smoothly to inspect the Locations where the scraps are piled up. It is also wise to get their names and contact numbers captured for any subsequent feedback. In case, there is no Bid against a particular Lot then the feedbacks from such Scrap dealers will bring out the reasons why they are not interested. Some of the reasons for a particular lot may be that Wooden Material or items which POSOCO feels have some residual value is actually in such a bad condition that a Scrap dealer finds no value to even buy it as Scrap. This happens because sometimes the wooden materials get exposed to rains etc and practically becomes unusable in any form.

Similarly there may be a situation, when the items are located at a place say 3rd Floor of the POSOCO office and a Scrap dealer finds that the Net gain to him will be negative as the associated expenses of Trucks and labourers to bring it down from 3rd Floor is much more than the Scrap value.

All these critical Analysis and Feedbacks are required to be captured by SDD Committee through the interested Scrap dealers who had visited the Locations prior to Auction. Depending upon the feedback SDD will recommend to the Competent Authority about the new proposal and strategy including shifting the Lot from Category A-D to Category E.

8.3 For the cases where there was Bid but it was less than even the STA % opted by POSOCO. Here also the reasons can be as explained as in para 7.2 above. MSTC Platform is one of the most happening Scrap disposal platforms in India and almost all Scrap dealers are active on it. The Auction procedure by MSTC (A Government of India Enterprise) is most transparent and thus the Highest Bid received is generally reflection of Market derived actual scrap value. Thus SDD Committee will analyse the proposal and increase the STA % and if situation warrants, Committee may even go for 100% STA which means the H-1 Bidder will be selected and there will be no Reserve Price. The whole objective is to get rid of the Scrap and make free the occupied space for useful purposes, Hygiene Factor and keeping in mind that meagre income from the Scrap is not for increasing the Bottom Line of the Company.

8.4 If H-1 Bidder fails to Pay EMD, then MSTC takes very stern action. The password of the defaulting H-1 Party will be automatically de activated and he will be debarred from participating in the e- auctions of MSTC. Re- activation of Party's password may be allowed only on payment of penal re-charges to MSTC, subject to examination of nature of Party's default .Under this backdrop, the probability of the H-1 bidder not submitting the EMD is very low, however in rare cases if such situation happens then SDD committee may recommend for re- Auction through MSTC.

9.0 Disposal of used “Lead Acid Batteries”

9.1 The used lead acid batteries are to be disposed only through depositing with the dealer/ manufacturer/ importer/ assembler/ registered recycler/ re-conditioner of the lead acid batteries or at the designated collection centres of used batteries.

9.2 Disposal through “buy-back” of the used batteries by the supplier of new batteries:

When new batteries are procured, for replacing the used and unserviceable batteries of similar type and specifications, following procedure shall be adopted for disposal:

(i) The proposal for scrap declaration and disposal of the used and unserviceable batteries shall be initiated by user department. However, fixing “Reserve Price” shall not be necessary for disposal of such used unserviceable batteries

(ii) In tenders for procurement of new batteries, suitable provisions should be incorporated for insisting the bidder to quote for “buy-back” of the used batteries. In such cases, evaluation of offers for new batteries should be carried out based on “Net cost” for each battery (arrived at after deducting the value offered for each used battery from the total cost quoted for new battery).

(iii) Accordingly, the Purchase Order placed for new batteries shall indicate the „Net Amount” payable after deducting the value offered for used batteries. Further, for the

purpose of accounting and discharging Tax liabilities, a separate “Sale Letter” should be issued for the used batteries (by the same authority who issued Purchase Order for new batteries), by keeping provisions for adjusting the deducted amount against the supplies (of new batteries) as the value for the used batteries.

(iv) On receipt of new batteries and adjustment of value for used batteries (in the payment), concerned Contracts Department shall issue a “Delivery Order” (addressed to indenter, with copies endorsed to Vendor and the concerned sections of Finance deptt, approving authority), so that vendor can collect the used batteries from the locations.

(v) Accordingly, indenter shall hand over the used batteries to the vendor against proper receipt and Gate Pass (issued on the authority of the Delivery Order).

(vi) Indenter shall forward copies of receipt obtained from the vendor to Finance and Contracts Department for regularization of the sales proceeds and also for inclusion in the returns to be filed with Tax authorities.

9.3 In all other cases, where disposal of used and unserviceable batteries cannot be done through the “buy-back” arrangement as mentioned in above para, disposal as per normal procedure should be done through MSTC only and a separate lot under Hazardous waste will be made and then only the registered recyclers from pollution Boards can only bid . All other procedures will be same as for the General Lot .SDD committee should be considerate enough to keep high STA % so that there is success in the first attempt itself.

10.0 Disposal of Information Technology equipment's to employees

The IT equipment's viz. Desktop PCs, Laptops, printers, scanners, Multifunction Devices etc. can be disposed as per the following procedures.

1. As per the CERC regulation, depreciation is 15% for such IT equipments which means that financial life of such equipment is 6.6 years.
2. However for optimum utilization and adoption of latest versions of such IT equipments in office, the operating lifespan of all such equipments like Desk Top Computers, laptops, printers, scanners shall be 05 years.
3. Thus after the completion of five years from the date of entry in the asset register/Capitalization in the books of finance, then the proposal for disposal of such equipment's shall be initiated by IT Department. Based on IT department's record of observations that such PCs and IT equipments are still suitable for employees use then the proposal for disposal to employees shall be initiated. The salvage price recommended shall be 5% of actual Purchase Price by IT department. Once the proposal is administratively approved by the Competent Authority, then it will be the

first step towards the disposal. The proposal will be then marked to SDD Committee consisting of IT, Contracts, Finance and HR. If SDD also recommends the proposal for disposal to employees and the same is approved by the Competent Authority then the action for disposal will be initiated as under.

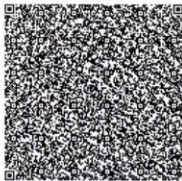
- (A) A circular will be given to all the employees of the respective RLDC/NLDC/CC seeking for expression of interest for the willingness of employee for buying that particular IT equipment at 5% of actual Purchase Price (including Taxes).
- (B) A cut-off date will be given by which time any employee can submit their expression of interest for buying to HR department.
- (C) After the cut-off date is over, HR department will publish the list of all the employees who have exercised their willingness and again fix a date by which time, any employee may notify errors in the published list. If any employee feels that due to any reason whatsoever his name was not appearing in the list published, then his name can be included. Similarly if anyone wants to opt out at this stage also, he will be free to do.
- (D) Once the dispute free list is frozen by HR department, then on a pre fixed time and date ,there will be a transparent lottery conducted by HR department in front of senior officers .With this methodology the identified IT equipment's can be disposed off giving first priority to our own employees in respective office(s).
- (E) If there is no willingness, then these IT Equipments can be donated free of cost to Government Educational Institutes/Schools to be identified by HR department, proposal to be routed through SDD committee, approval of Competent Authority taken.
- (F) Even after this processes, disposal is not successful then the Scrap will be disposed off through MSTC without fixing any reserve price.

11.0 De-capitalisation of Scrapped Item from the Asset Register

After successful process of Scrap disposal as elaborated in above paras, Finance department will de-capitalise the items from the Asset Register and do the proper accounting in P&L. In case it is felt that there is substantial item in the lot(s) which were not identifiable in the Asset Register and because of which proper decapitalization figure can not be ascertained against items which were in the asset register then lots shall be suitably made segregating all such items.

Annexure-1 (Agreement with MSTC)

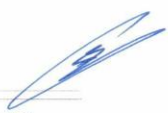
 सत्यमेव जयते		INDIA NON JUDICIAL Government of National Capital Territory of Delhi e-Stamp
Certificate No.	:	IN-DL76604503851549N
Certificate Issued Date	:	29-Oct-2015 02:40 PM
Account Reference	:	IMPACC (IV)/ dl731303/ DELHI/ DL-DLH
Unique Doc. Reference	:	SUBIN-DL73130351324822060461N
Purchased by	:	MSTC LTD
Description of Document	:	Article 5 General Agreement
Property Description	:	Not Applicable
Consideration Price (Rs.)	:	0 (Zero)
First Party	:	PO SO CO NEW DELHI
Second Party	:	MSTC LTD
Stamp Duty Paid By	:	MSTC LTD
Stamp Duty Amount(Rs.)	:	100 (One Hundred only)


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SELLING AGENCY AGREEMENT

1.0 THIS AGREEMENT is made on this 05th day of Nov 2015, between Power System Operation Corporation Ltd POSOCO (A wholly owned subsidiary POWER GRID CORPORATION OF INDIA LIMITED) Registered office at B-9, Qutub Institutional Area, Katwaria Sarai, New Delhi-110016 hereinafter called "the Principal"(which expression shall unless excluded by or repugnant to the context be deemed to include its successors and assigns) on the one part; and MSTC Limited (A Govt. of India Enterprise) incorporated under the Companies


Principal


Agent

Statutory Alert:

1. The authenticity of this Stamp Certificate should be verified at "www.shcilestamp.com". Any discrepancy in the details on this Certificate and as available on the website renders it invalid.
2. The onus of checking the legitimacy is on the users of the certificate.
3. In case of any discrepancy please inform the Competent Authority.

Act, 1956 and having its registered office at 225-C, Acharya Jagadish Chandra Bose Road, Calcutta-700 020 and its Northern Regional Office at Jeevan Vikas Building, 30-31A, Asaf Ali Road, New Delhi-110002 hereinafter called "MSTC" (which expression shall unless excluded by or repugnant to the context be deemed to include its successors and assigns) on the Other part ;

- 2.0 WHEREAS MSTC has approached the PRINCIPAL with a request to engage MSTC as Selling Agents for direct sale of all movable items and all surplus, condemned/scrap/obsolete materials and secondary arising (ferrous and non-ferrous) as well as equipments, Plant, Machineries and misc. articles etc.; through MSTC's Auction web site www.mstcecommerce.com
- 3.0 AND WHEREAS the Principal has agreed to engage MSTC as one of their Selling Agent for the purpose on the terms and conditions mentioned hereinafter;
- 4.0 NOW it is hereby agreed and declared by the parties hereto as follows:
- 4.1 This Agreement shall cover disposal of all movable items and all surplus, condemned/scrap/obsolete materials and secondary arising (ferrous and non-ferrous) as well as equipments, Plant, Machineries and misc. articles etc.; through MSTC's Auction web site www.mstcecommerce.com as mentioned in clause-2.0 above in consideration of service charges mentioned in clause 9.0
- 4.2 In addition to the above, add-ons any other item added to the category of disposals may be effected through this agreement on mutual consent.
- 4.3 MSTC shall act as Selling Agent for and on behalf of the "Principal" disposal of all items covered under Clauses 4.1 & 4.2 hereof in the home/indigenous market by way of e-auction over the Internet on its website www.mstcecommerce.com based on this agreement.

5.0 DURATION OF CONTRACT :

This agreement unless terminated earlier will be valid for a period of 5 (Five) years w.e.f. 05/11/15 which may be extended or renewed for further period on such terms and conditions as mutually agreed upon by the parties thereto, to be read in conjunction with clause 16.0

6.0 QUANTUM OF BUSINESS:

This contract by itself does not commit the Principal as to the quantum of business given to MSTC.

7.0 NATURE & SCOPE OF SERVICE & RESPONSIBILITY OF MSTC:

- 7.1 MSTC shall conduct e-auction sale directly and in consultation with and prior written approval of the Principal and in no case the appointment of any dealer/trader/auctioneer for the purpose will be considered.

- 7.2 MSTC will offer guidance in regard to making of lots for the purpose of e-Auction and will act on the basis of the list of disposable materials received from the Principal. In addition to it MSTC will also provide assistance to the principal in fixing reserve price and shall intimate the prevailing rates of respective scrap.
- 7.3 Since e-Auction, is a web based system, all publicity of the sale will be made by MSTC through MSTC's website and other internet tools and no press advertisement will be required. Individual sale notices will be sent by MSTC by email to all registered customers of MSTC on all India basis. No costs and expenses will be paid by the Principal,
- 7.4 MSTC shall arrange disposal of the materials primarily through e-auction via their website www.mstcecommerce.com.
- 7.5 Prior to the close of any auction Principal will receive a system generated Email indicating the status of the Auction which will inter alia include Sold Lots, Subject To Approval (STA) lots and also lots not sold with highest bid received for Principal's record. The Principal shall have the option to visit the website in order to obtain a full report of any particular auction, which will normally depict the replica of the Bid Sheet of a particular auction.
- 7.6. Prevailing rates of Scrap Material will be given by MSTC ,if available.
Reserve Price must be fixed and entered by the Principal in MSTC website, which will be only accessible by the Principal and none else, for the disposable materials. In case the Reserve price is not entered by the principal prior to commencement of the Auction, the lots for which the reserve prices have not been entered, shall stand automatically withdrawn by the system. EMD shall be collected in POSOCO account directly and MSTC shall be issuing Delivery order after confirmation from POSOCO.
- 7.7 If, in respect of any item(s) covered under the Selling Agency Agreement, it is desired by the Principal to have a market survey, the costs for the same will have to be borne by the Principal. The market survey could be done by MSTC themselves or by engaging consultants.
- 7.8 MSTC shall enter into sale contracts with the successful bidders/ buyers/customers by issuing Sale Orders/Acceptance Letters on behalf of the Principal through the system for the sold lots.
- 7.9 MSTC shall accept sale price/bid money for onward submission to the Principal directly in account of POSOCO, The successful buyers will have the option to remit their money to any of the offices of MSTC. The principals will be able to access data of payments etc., at the website.
- 7.10 Wherever the Principal is not registered under the appropriate Sales Tax Act, MSTC shall collect Sales Tax as applicable and other declaration forms and submit the same to the Appropriate Authority. For such service, an additional Service Charge of 0.5% will be payable by the Principal to MSTC.

- 7.11 MSTC shall prepare and issue Delivery Orders after receipt of the payments from the buyers, through the system. On production of the Delivery Order and being satisfied that all formalities are completed the Principal will deliver materials.
- 7.12 MSTC shall also be responsible for follow-up of orders booked and of any omission or commission on their part
- 7.13 MSTC shall regularly follow up the delivery Orders and ensure time bound clearance of the materials sold/auctioned from the Principals premises by the successful buyers/customers/bidder. Efforts will be made such that the materials be lifted by the successful buyer/customer/bidder within 15 days after making the final payment, or as indicated in the terms of tender/auction/e-auction. A provision of charging ground rent for failure to lift the material should be indicated in the terms contained in the Delivery Order/Sale Contract

8.0 NATURE & SCOPE OF RESPONSIBILITY OF THE PRINCIPAL :

- 8.1 The Principal shall provide MSTC with the list of materials with detailed specifications and descriptions, locations, quantity, quality and special remarks or any sort of restriction, if any, for disposal. The Principal shall not amend/alter or modify the quantity of the lot after the auction is declared open and live. All such amendments/alterations/modifications shall be made prior to commencement of auction and intimated to MSTC in writing for notifying the prospective bidders sufficiently in advance.
- 8.2 The Principal shall indicate the annual availability of scrap and other items for disposal as far as possible for each category. The auction programme shall be finalized between MSTC and Principal for each quarter in writing as per mutual convenience. Principal will combine the list of disposable items of its various units.
- 8.3 The Principal shall cause to effect deliveries to the buyers/customers as per Delivery Orders issued by MSTC and as per directions given by MSTC from time to time. Any disputes arising while effecting deliveries to successful bidders/buyers shall be dealt with by the Principal.
- 8.4 The Principal shall be responsible for raising invoices as per the terms and Sale Orders/Delivery Orders issued by MSTC.
- 8.5 The Principal may monitor the auction and will be able to view the bid history etc., during the continuation of the E-auction.
- 8.6 If the Principal is a registered dealer under appropriate sales Tax Act, the Principal will indicate rate of tax for each lot however MSTC collect necessary Sales Tax and other declaration form etc. at its end and forward the same to the Principal for necessary action at their end. In case the Principal is not a registered dealer, the Principal may not indicate the rate of levies item-wise, in such case MSTC would indicate rate of taxes and collect the same and deposit with appropriate authority for which the additional service charges is payable as



Page 4 of 9



indicated in clause 7.10 here in before. However in case of such unregistered principals for whom MSTC deposits tax with the appropriate authority, in these cases, the principal would be responsible to bear all other related statutory duties and taxes e.g.. turnover tax / surcharges which could not be received from the buyers as per statute of the respective state. However, the Principal must indicate the item which will attract excise duties and also amount/rate of Excise duties leviable.

- 8.7 MSTC shall provide its standard terms and conditions of sale of materials to the Principal. The Principal will not insist on MSTC for any deviation from standard terms of sale of MSTC.

9.0 **SERVICE CHARGE**

MSTC shall be entitled to a service charge of 2.67 % (excluding service tax etc.) on the value of materials disposed, arrived on the basis of the value of the Delivery Order (D.O.) issued through e-auction over the Internet. Service Tax, Education Cess/Higher Education Cess as applicable on Service Charges shall be payable by Principal

The above service charges are to be read along with Clause 7.10 hereto above.

The service charge is exclusive of any other taxes and duties levied by the Statutory Authorities of different States and Central Government. Service Tax, Education Cess/Higher Education Cess as applicable on Service Charges shall be payable by Principal. TDS will be deducted on service charge, as per statute.

N.B:

1. If any organisation has more than one unit, the sales from all units will be taken together for the purpose of calculating Service Charge.
 2. Year referred to above, shall be reckoned as anniversary year i.e. for 12 months from the date of Agreement.
 3. Above Service Charges are to be read along with [Cl.no.7.10] hereto above.
 4. The Service Charge is exclusive of any other taxes and duties levied by the statutory authorities of different State and Central Governments.
- 9.2 Service Charge will be calculated on the amount realised excluding Excise Duty and Sales Tax, if applicable.
- 9.3 Buyer shall be directed by MSTC to bring the payment by bank drafts / online in two parts i.e one in favour of POWER SYSTEM OPERATION CORPORATION LTD for 97.33% (towards value of disposal plus towards TDS @ 10%, Subject to change ,on MSTC service charge) & another in favour of MSTC for 2.67% (plus service tax less TDS @ 10%) towards

Ramesh Kumar

Service Charges. The details thereof shall be forwarded along with the signed bill and receipt within three days of the succeeding month.

- 9.4 Whenever any e-auction is cancelled under the advice/instruction of Principal, the actual cost of advertisement etc. shall be reimbursed to MSTC by the Principal.

10.0 STANDING COMMITTEE FOR IMPLEMENTATION OF THE AGREEMENT

- 10.1 The Principal and MSTC will nominate one official each for dealing with all matters relating to this Agreement. The working arrangements for implementing the provisions of this Agreement shall be mutually discussed and decided upon.

11.0 EXECUTION OF SALE CONTRACT :

- 11.1 Sale Contract(s) of the Principal existing at the time of execution of this Agreement will continue to operate and will not come under the purview of this Agreement. Similarly, at the expiry of this Agreement as per clause 5.0, the orders booked by MSTC will continue to operate as if this Agreement continues till the execution of those orders.

12.0 HANDLING OF SUITS :

Since MSTC will only act as Selling Agent/Service Provider to the Principal who is the Owner/Seller of the materials, all litigations including arbitration, if any invoked by the Bidders/Buyers shall be exclusively dealt with by the Principal irrespective of whether MSTC is joined in such proceedings as a party or not. It shall be responsibility of the Principal to handle all suits/legal proceedings including arbitration that may initiated by or against any buyer/bidder and to defend itself in all such proceedings at its own costs and expenses. The competent officials of the Principal shall be also required to appoint the Sole Arbitrator in case request for such appointment is made by Bidder/Customer in terms of the relevant Tender/Auction/e-Auction Clauses. If court case arises on the fault of M/s MSTC(other than due to omission or commission on the part of the "Principal", then responsibility will be of M/s MSTC, New Delhi.

13.0 JURISDICTION OF THE COURT:

It is further agreed between the parties hereto that this agreement shall be subject to the exclusive jurisdiction of the courts in Delhi

14.0 AMENDMENT :

- 14.1 Any amendment to this Agreement would be enforceable only if made in writing and duly signed by authorised representatives of the parties hereto.

15.0 FORCE MAJEURE CLAUSE :



- 15.1 If, any time during the continuance of this Agreement, the performance, in whole or in part by either party, of any obligation under this Agreement be prevented or delayed by reason of any war, hostility, act of public enemy, civil commotion, sabotage, fires, floods, explosions, epidemics, quarantine restrictions, strikes, lock-outs, Technical and/or connectivity failure which is entirely beyond the control of MSTC etc. or acts of God (hereinafter referred to as 'events') provided notice of happening of any such eventuality is given by the affected party to the other within 21 days from the date of occurrence thereof, neither party shall by reason of such event have any claim for damages against the other in respect of such non-performance or delay in performance, provided further that if the performance in whole or part of any obligation under this Agreement is prevented or delayed by reasons of any such event for a period exceeding sixty days, the parties shall try to arrive at an amicable settlement, failing such settlement the Principal may terminate this Agreement at its sole discretion and at such event MSTC shall be bound to pay all the expenses and other moneys recovered from the bidders to the Principal forthwith.

16.0 TERMINATION :

- 16.1 This Agreement shall be subject to termination with clear 3(three) calendar months' notice in writing from either side before the expiry of the contract.

17.0 ARBITRATION CLAUSE :

- 17.1 Any dispute, difference, controversy or claims ("Dispute") arising between the parties out of or in connection with this Agreement or the breach, termination, effect, validity, interpretation or application of this agreement or their rights, duties or liabilities hereunder, shall be settled by the parties by mutual consultation. If for the reason such Disputes cannot be resolved amicably by the parties, such disputes shall be referred for adjudication by way of Arbitration and The arbitral tribunal shall be composed of three arbitrators, one arbitrator to be appointed by each Party and the third arbitrator shall be appointed by such arbitrators. Arbitration Proceedings shall be conducted in accordance with the provisions of the Arbitration and Conciliation Act 1996 or any statutory re-enactment of the same and the rules framed thereunder. The venue of the Arbitration shall be Delhi and the language of the Arbitration shall be English. The Arbitral award shall be final and binding on both the parties. The cost of Arbitration shall be shared equally by the parties.
- 18.0 No modification, waiver or amendment of any term or condition of this MOA shall not be effective unless and until it shall be reduced to writing and signed by both the parties hereto.

19.0 CONFIDENTIALITY

- a. Each of the Parties shall, during the term of this agreement and at all times thereafter, keep confidential and cause their respective directors, officers, employees, representatives and agents, as the case may be, to keep confidential any Confidential Information (defined below) which any such persons may acquire in relation to the transactions contemplated by this agreement or in



Page 7 of 9



relation to the employees, clients, business or affairs of the other Party and shall not use or disclose such information except with the prior written consent of the other Party. The restrictions in this Clause shall not apply to any information:

- b. which is, as on the date of this agreement publicly available other than through breach of this agreement by any Party;
- c. which was known to the Party, as evidenced by its written records, prior to it receiving such confidential information;
- d. which subsequently comes lawfully into the possession of the disclosing Party by a third party which did not require any obligation of confidentiality;
- e. which is required to be disclosed in accordance with the requirements of law, any Governmental authority, any power exchange regulation or any binding judgment, order or requirement of any court or other competent authority; or
- f. which is disclosed to any national authority;
- g. For the purpose of this Clause, "Confidential Information" means all the information of a confidential nature disclosed (whether in writing, verbally or by any other means and whether directly or indirectly) by one party to the other party whether before or after the date of this agreement

20.0 OTHER CONDITIONS:

- (i) MSTC LTD shall act only as a Service Provider for conducting e-auction and shall not be a party to the Sale Contract(s) between the Principal/Seller and the buyer(s).
- (ii) Since materials to be sold shall never come under the custody or possession of the MSTC Ltd, no complaint from the bidders/buyers on account of quality and/or quantity of goods shall lie against MSTC LTD
- (iii) MSTC shall not be responsible for any inconvenience caused due to any disruption in internet service at bidders' end.

21.0 APPLICABILITY OF LAWS :

- 21.1 The Agreement shall be governed by the Indian Laws for the time being in force.



IN WITNESS WHEREOF the parties hereto have subscribed their respective hands on the day, month and year first above written.

Signed and delivered

For and on behalf of POSOCO

By its R.K. Sharma

(Designation)
आर.के. शर्मा / R.K. Sharma
उप महाप्रबन्धक / Dy. General Manager
NORTHERN REGIONAL LOAD DESPATCH CENTRE
POWER SYSTEM OPERATION CORPORATION LIMITED
18-A, Shaheed Jeet Singh Marg,
Katwaria Sarai, New Delhi-110016

In the presence of :
1.

आलोक
(Signature with Address)
Signed and delivered
आलोक कुमार / ALOK KUMAR
मुख्य प्रबन्धक / Chief Manager
उत्तरी क्षेत्रीय भार प्रेषण केन्द्र, पोसोको
Northern Regional Load Despatch Centre, POSOCO
18/ए, शाहीद जेत सिंह मार्ग, कटवारिया सराय, नई दिल्ली-16
18/A, Shaheed Jeet Singh Marg, Katwaria Sarai, New Delhi-16

(Signature with seal)

2. C.S. Venkatesh

सी.एस. वेंकटरमन / C.S. VENKATESH
उप प्रबन्धक (वि.एस.सेंटर) / Dy. Manager (F&A)
उत्तरी क्षेत्रीय भार प्रेषण केन्द्र,
(Signature with Address)
पावर सिस्टम ऑपरेशन कॉर्पोरेशन लिमिटेड (पोसोको)
POWER SYSTEM OPERATION CORPORATION LIMITED (POSOCO)
नई दिल्ली / New Delhi - 110 016

For and on behalf of M/S. MSTC LIMITED
By its General Manager Shri D.P.Bahuguna
(Designation)

डी.पी. बहुगुणा
महा प्रबंधक
एम.एस.टी.सी. लिमिटेड
(भारत सरकार का उपक्रम)
30/31A, जीवन विकास भवन, प्रथम तल
आसफ अली रोड, नई दिल्ली-110002
D.P. BAHUGUNA
General Manager
MSTC LIMITED
(A Govt. of India Enterprise)
30/31A, Jivan Vikas Building, 1st Floor,
Asaf Ali Road, New Delhi-110002
(Signature with seal)

In the presence of :

1.

S. Barnwal
(Signature with Address)

सुचित कुमार बर्णवाल
क्षेत्रीय वित्त प्रबन्धक
एम.एस.टी.सी. लिमिटेड
(भारत सरकार का उपक्रम)
30-31A, जीवन विकास भवन, प्रथम तल
आसफ अली रोड, नई दिल्ली-110002
SUCHIT KUMAR BARNWAL
Regional Finance Manager
MSTC LIMITED
(A Govt. of India Enterprise)
30-31A, Jivan Vikas Building, 1st Floor
Asaf Ali Road, New Delhi-110002

2.

(Signature with Address)
Shalini Bhatti

शालिनी भट्टी
वरिष्ठ प्रबंधक
एम.एस.टी.सी. लिमिटेड
(भारत सरकार का उपक्रम)
30/31A, जीवन विकास भवन, प्रथम तल
आसफ अली रोड, नई दिल्ली-110002
SHALINI BHATTI
SENIOR MANAGER
MSTC LIMITED
(A Govt. of India Enterprise)
30/31A, Jivan Vikas Building, 1st Floor,
Asaf Ali Road, New Delhi-110002

Page 9 of 9

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